

company's books, because of the steep difference in sales tax rates across states. Many companies would under-report production to evade central excise duty, sales tax and income tax. Firms also diverted a part of their sales to associate firms in locations where tax rates were lower. Sometimes companies sold a chunk of their goods to dummy entities below their fair price. The dummy entities then sold those products at market price, ensuring the profits from the sale never reached the company's shareholders. If the company catered to export markets, promoters could take the money out of the country through this route. The company would sell its products to a promoter-controlled entity in Dubai or Singapore at a discounted rate. That entity would then sell the product in the international markets at its true price, and the difference would flow into the bank accounts of the promoters in Switzerland or the Cayman Islands.

Companies would enter into arrangements with their vendors for fake bills to show higher expenses. The excess money would later be paid back to the promoter in cash. If the vendor was an international entity, the promoter could take the money out of the company's books and divert it to his accounts in tax havens.

There were hawala operators who controlled the dummy entities, be they proprietorship firms, partnership firms, companies or trusts, in India or overseas. Promoters looking to suck out cash from their companies would make cheque payments to the hawala operator for phony expenses, and get the cash back, minus a commission, for the arrangement.

Inflating costs of plant and machinery also helped divert company money to the promoter's coffers. The inflated payment would be made by the company and the promoter would later collect the money in cash from the supplier. The higher the cost of the machinery, the higher would be the depreciation, and the lower the profits. Depreciation money was set aside for replacing the equipment when their useful life was over. The promoter would then find some way or the other to take this money out.

The 'other expenses' head – under which several miscellaneous operating expenses were aggregated in the profit and loss statement – made for a rich conduit for leakage. A sharp rise in 'other expenses' in a depressed market or slowing economy could point to money being drained from the company.

There were quite a few instances of acquisition of foreign companies that were nothing but contrivances by promoters to take money out of the company. In some instances, the promoters had raised capital specifically